SURVEY OF THE LITERATURE ON STATE CLIMATE COST RECOVERY

Prepared by the Arden Legislative Reference Bureau

A survey of published commentary. The Bureau summarises positions without endorsing any. Commentary is not authority.

1. THE POLLUTER PAYS ARGUMENT

A body of writing argues that the cost of adaptation is properly assigned to those who profited from the sale of the products whose use caused the harm, and that assignment by reference to historical market share is the only administrable method. Writers in this group divide on whether the measure is better characterised as a tax or as a remedial exaction, a distinction they accept may matter to the standard of review.

2. THE OBJECTIONS

The principal objections in the literature are three: that market share is a poor proxy for contribution; that a charge computed on past sales cannot be passed to the customers who bought the product; and that a State's share of a global harm is not separable, so that any state-level allocation is arbitrary. The third objection is contested by writers who argue that the same could be said of any local abatement measure.

3. THE DESIGN LITERATURE

There is a smaller literature on drafting. Its recurring recommendations are that coverage tests use absolute rather than proportionate thresholds, that the measuring period be stated, that a single allocation base be specified, and that a severability clause be included so that an invalid charge does not carry the remainder of the scheme with it. Writers observe that these are the provisions most often litigated and the least often carefully drafted.

4. THE MEASUREMENT PROBLEM

A recurring theme is that the writing is far ahead of the practice on measurement. Several writers observe that legislatures set fund targets by reference to estimated adaptation need, while the constitutional tests they must satisfy are framed by reference to the activity charged; the two have no necessary relation, and the gap between them is where enacted measures have been struck. One writer proposes that a target be expressed as a multiple of documented unreimbursed loss, on the view that a multiple is defensible where an unexplained absolute figure is not. The Bureau notes that no enacted measure adopts that form.

5. COVERAGE TESTS

There is a small but pointed literature on coverage. Writers divide between proportionate tests, which do not require amendment as prices move, and absolute tests, which are predictable in application. The criticism of the proportionate form is that it scales with the payer: the larger the payer, the larger the absolute in-state presence the test demands, so a test intended to reach large sellers may exclude precisely them. Two writers describe this as counter-intuitive and suggest it accounts for the vetoes and amendments observed in the states. The Bureau expresses no view.

6. RETROACTIVITY

The literature treats the length of the reach-back as the decisive variable and is broadly in agreement that periods beyond a small number of years are difficult to sustain. Writers disagree about whether the ability to pass the charge forward matters: some say a charge on completed sales is uniquely objectionable because it cannot be passed to the customers who bought the product; others reply that all retroactive taxation has that feature and the authorities have nonetheless sustained it.

7. WHAT THE LITERATURE DOES NOT SETTLE

No writer surveyed offers a method for determining how large a fund may be before it ceases to be remedial. Several note the absence of one.

Bibliography annexed. The Bureau has not evaluated the quality of the work surveyed.